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# Constitution of India

BNC601

One-day revision notes: definitions, solved examples, code and important questions

**Program:** B.Tech | **Branches:** ALL | **Semester:** 6 | **L-T-P:** 2-0-0

**Scheme:** AKTU B.Tech 3rd year (semester 6), Non-credit (audit) course, 2024-25 onwards (earlier code KNC601, "Constitution of India, Law and Engineering")


**UNIT 1** Introduction and Basic Information about the Indian Constitution

**UNIT 2** Union and State Executive, Legislature and Judiciary

**UNIT 3** Introduction to the Legal System

**UNIT 4** Intellectual Property Law and Regulation of Information

**UNIT 5** Business Organizations and E-Governance


Original revision notes written for the AKTU syllabus. Every unit has the same parts:

1. **2-mark definitions**: short answers you can write word for word in Section A.
2. **Core concepts**: articles, procedures and comparison tables.
3. **Landmark cases and examples**: the cases and facts that lift an answer from average to good.
4. **Key points to remember**: numbers, articles and years in one place.
5. **Important questions**: the long questions to prepare, with what your answer must contain.

## How to use these notes the day before the paper

- **Morning (2 hours):** Unit 1 (history, Preamble, Fundamental Rights, DPSP, Fundamental Duties, federalism, amendment, emergency) and Unit 2 (Parliament, President, Prime Minister, Supreme Court, Lokpal, state government).
- **Afternoon (2 hours):** Unit 3 (sources of law, courts and tribunals, arbitration, contract, tort, workplace law) and Unit 4 (patents, copyright, RTI, IT Act).
- **Evening (1 hour):** Unit 5 (sole trader, partnership, company law, e-governance, engineers in government and the judiciary). Then the "Last-hour checklist".
- **In the exam:** quote the article or section number, add one landmark case, and end with a one-line conclusion. A short table (for example President of India vs US President) earns marks quickly.

**AKTU paper pattern (theory, 70 marks, 3 hours):** Section A has 7 short questions of 2 marks, all compulsory (14). Section B has 5 questions of 7 marks, attempt any 3 (21). Section C has 5 questions (one per unit), each with two parts, attempt one part of each, 7 marks each (35). Every unit gets its own Section C question, so do not skip any unit. This is a non-credit course, but you must pass it to get your degree.

# UNIT 1 Introduction and Basic Information about the Indian Constitution

## ✍️ 2-mark definitions

- **Constitution:** the supreme law of a country. It sets up the organs of government, divides power between them, and protects the rights of citizens.
- **Constitutional law:** the body of law that comes from the Constitution and from court judgments interpreting it.
- **Constitutionalism:** the idea that government power is limited by law. Rulers are bound by the Constitution, rights are protected, and courts can check abuse of power.
- **Constituent Assembly:** the body that framed the Constitution. It first met on 9 December 1946, with Dr. Rajendra Prasad as President and Dr. B. R. Ambedkar as Chairman of the Drafting Committee.
- **Preamble:** the introduction to the Constitution. It states the source of authority (the people), the nature of the state (sovereign, socialist, secular, democratic republic) and its goals (justice, liberty, equality, fraternity).
- **Fundamental Rights:** basic rights in Part III (Articles 12 to 35), enforceable in court against the state.
- **Directive Principles of State Policy (DPSP):** guidelines in Part IV (Articles 36 to 51) for making laws and policy. They are not enforceable in court (non-justiciable).
- **Fundamental Duties:** moral duties of citizens in Part IVA (Article 51A), added by the 42nd Amendment, 1976.
- **Federalism:** division of power between a central government and state governments, each supreme in its own sphere.
- **Parliamentary system:** the executive (Council of Ministers) comes from the legislature and stays in office only while it has the confidence of the Lok Sabha.
- **Amendment:** a formal change to the Constitution under Article 368.
- **Basic structure doctrine:** Parliament can amend any part of the Constitution but cannot destroy its basic features (Kesavananda Bharati case, 1973).
- **Emergency:** special powers that let the Union take control in a crisis: national (Article 352), state (Article 356) and financial (Article 360).
- **Panchayati Raj:** the rural local self-government set up by the 73rd Amendment, 1992 (Part IX).

## 💡 Core concepts

### Historical background (timeline)

| Year | Event | Importance |
|---|---|---|
| 1858 | Government of India Act | Rule passed from the East India Company to the British Crown |
| 1909 | Morley-Minto Reforms | Separate electorates for Muslims |

| Year | Event | Importance |
|---|---|---|
| 1919 | Montagu-Chelmsford Reforms | Dyarchy in the provinces |
| 1935 | Government of India Act | Federal scheme, provincial autonomy, three lists; the largest single source of our Constitution |
| 1946 | Cabinet Mission Plan | Proposed the Constituent Assembly (members indirectly elected by provincial assemblies) |
| 1947 | Indian Independence Act | Ended British rule; the Constituent Assembly also became the legislature |
| 26 Nov 1949 | Constitution adopted | Celebrated as Constitution Day |
| 26 Jan 1950 | Constitution came into force | Celebrated as Republic Day |

The Assembly took 2 years, 11 months and 18 days. The original Constitution had a Preamble, 395 articles in 22 parts and 8 schedules. Today it has more than 450 articles and 12 schedules.

**Salient features**

1. Longest written constitution in the world.
2. Drawn from many sources: Government of India Act 1935 (federal scheme, emergency), UK (parliamentary system, rule of law, single citizenship), USA (Fundamental Rights, judicial review, independent judiciary), Ireland (DPSP), Canada (strong centre, residuary powers with the Union), Australia (Concurrent List), USSR (Fundamental Duties), South Africa (amendment procedure), Weimar Germany (suspension of rights in emergency).
3. Partly rigid and partly flexible (three types of amendment).
4. Federal system with a unitary bias ("quasi-federal").
5. Parliamentary form of government at the Centre and in the states.
6. Fundamental Rights, DPSP and Fundamental Duties.
7. Independent and integrated judiciary with power of judicial review.
8. Secular state, universal adult franchise (voting age reduced from 21 to 18 by the 61st Amendment, 1988), single citizenship.
9. Independent bodies: Election Commission, CAG, UPSC, Finance Commission.
10. Emergency provisions and three-tier local government.

**Preamble:** "We, the people of India, having solemnly resolved to constitute India into a Sovereign Socialist Secular Democratic Republic and to secure to all its citizens: Justice (social, economic and political); Liberty (of thought, expression, belief, faith and worship); Equality (of status and of opportunity); and to promote among them all Fraternity (assuring the dignity of the individual and the unity and integrity of the Nation)..."

- "Socialist", "Secular" and "integrity" were added by the 42nd Amendment, 1976.
- In Berubari (1960) the Supreme Court said the Preamble is not part of the Constitution. In Kesavananda Bharati (1973) it reversed this: the Preamble is part of the Constitution and can be amended, but its basic features cannot be destroyed.

### Fundamental Rights (Part III)

| Right | Articles | Main content |
|---|---|---|
| Right to Equality | 14 to 18 | Equality before law and equal protection (14), no discrimination (15), equal opportunity in public jobs (16), abolition of untouchability (17), abolition of titles (18) |
| Right to Freedom | 19 to 22 | Six freedoms of Article 19 (speech, assembly, association, movement, residence, profession), protection in conviction (20), life and personal liberty (21), education for children 6 to 14 (21A), protection against arbitrary arrest (22) |
| Right against Exploitation | 23, 24 | No human trafficking or forced labour; no child below 14 in factories or hazardous work |
| Right to Freedom of Religion | 25 to 28 | Freedom of conscience and religion, freedom to manage religious affairs |
| Cultural and Educational Rights | 29, 30 | Protection of minority language and culture; minorities may run their own educational institutions |
| Right to Constitutional Remedies | 32 | Direct approach to the Supreme Court; Ambedkar called it "the heart and soul of the Constitution" |

- **Five writs (Article 32 for the Supreme Court, Article 226 for High Courts):** Habeas corpus ("produce the body", against illegal detention), Mandamus ("we command", orders a public official to do a duty), Prohibition (stops a lower court from going beyond its jurisdiction), Certiorari (quashes an order already passed by a lower court), Quo warranto ("by what authority", against illegal holding of a public office).
- The Right to Property was removed from Part III by the 44th Amendment, 1978. It is now a constitutional right under Article 300A.
- Articles 20 and 21 cannot be suspended even during a national emergency (44th Amendment).

### Directive Principles of State Policy (Part IV)

- Socialist principles: adequate livelihood, fair distribution of resources, equal pay for equal work (39), free legal aid (39A), right to work and public assistance (41), living wage (43).
- Gandhian principles: village panchayats (40), cottage industries (43), prohibition of intoxicating drinks (47), protection of cows (48).
- Liberal-intellectual principles: uniform civil code (44), early childhood care (45), protection of environment (48A), protection of monuments (49), separation of judiciary from executive (50), international peace (51).
- **Fundamental Rights vs DPSP:** rights are negative (limit the state), justiciable and individual. DPSP are positive (direct the state to act), non-justiciable and social. In Minerva Mills (1980) the Supreme Court said the two must be balanced; harmony between them is part of the basic structure.

**Fundamental Duties (Article 51A):** added on the recommendation of the Swaran Singh Committee (42nd Amendment, 1976). There were 10 duties; the 11th (parents to give their child aged 6 to 14 the opportunity of education) was added by the 86th Amendment, 2002. Examples: respect the Constitution, the National Flag and the National Anthem; protect the sovereignty and unity of India; promote harmony; protect the environment; develop scientific temper; safeguard public property; strive for excellence.

### Federal system and Centre-State relations

- Article 1: "India, that is Bharat, shall be a Union of States". The states cannot leave the Union.
- Federal features: two levels of government, division of powers (Seventh Schedule), written and rigid constitution, supremacy of the Constitution, independent judiciary, bicameral Parliament.
- Unitary features: strong Centre, residuary powers with the Union (Article 248), single citizenship, integrated judiciary, All India Services (Article 312), Governor appointed by the Centre, emergency provisions, Parliament can change state boundaries (Article 3). Hence K. C. Wheare called India "quasi-federal".
- **Legislative relations (Articles 245 to 255):** Seventh Schedule with the Union List (defence, foreign affairs, railways, banking), the State List (police, public order, agriculture, public health) and the Concurrent List (education, forests, marriage, criminal law). On a conflict on a Concurrent List subject, the Union law prevails (Article 254). Parliament can make laws on State List subjects when the Rajya Sabha passes a resolution by two-thirds (Article 249), during emergency, or when two or more states request it (Article 252).
- **Administrative relations (Articles 256 to 263):** states must follow Union laws; the Centre can give directions; Inter-State Council (Article 263).
- **Financial relations (Articles 264 to 293):** division of taxes; Finance Commission every five years (Article 280); grants-in-aid (Articles 275 and 282); GST Council (Article 279A, 101st Amendment, 2016).
- Commissions on Centre-State relations: Sarkaria Commission (1983) and Punchhi Commission (2007).

### Amendment of the Constitution (Article 368)

| Type | Majority needed | Examples |
|---|---|---|
| Simple majority (these are not treated as amendments under Article 368) | Majority of members present and voting in each House | Creating new states (Articles 2, 3), citizenship, salaries of MPs |
| Special majority | Majority of total membership of each House and two-thirds of members present and voting | Fundamental Rights, DPSP, most other provisions |
| Special majority plus ratification by states | Special majority in Parliament plus approval by at least half of the state legislatures | Election of the President, Union and state executive powers, Supreme Court and High Courts, Seventh Schedule, representation of states in Parliament, Article 368 itself |

- There is no joint sitting for an amendment bill, and the President must give assent (24th Amendment, 1971).
- Historical perspective: Shankari Prasad (1951) said Parliament can amend Fundamental Rights. Golak Nath (1967) said it cannot. The 24th Amendment (1971) restored the power. Kesavananda Bharati (1973) gave the middle path: Parliament can amend any part but not the basic structure. Minerva Mills (1980) said limited amending power is itself part of the basic structure.

- Important amendments: 1st (1951, Ninth Schedule), 42nd (1976, "mini-constitution"), 44th (1978, undid many 42nd Amendment changes, removed property as a Fundamental Right), 52nd (1985, anti-defection, Tenth Schedule), 61st (voting age 18), 73rd and 74th (1992, local government), 86th (2002, Right to Education), 101st (2016, GST), 103rd (2019, 10% EWS reservation), 106th (2023, one-third seats for women in Lok Sabha and state assemblies).

**Emergency provisions (Part XVIII)**

| Type | Article | Ground | Approval and duration | Used |
|---|---|---|---|---|
| National Emergency | 352 | War, external aggression or armed rebellion ("internal disturbance" replaced by "armed rebellion" by the 44th Amendment) | Both Houses by special majority within 1 month; then 6 months at a time, no maximum | 1962, 1971, 1975 |
| President's Rule (State Emergency) | 356 | Failure of constitutional machinery in a state | Both Houses by simple majority within 2 months; 6 months at a time, maximum 3 years | More than 100 times |
| Financial Emergency | 360 | Threat to financial stability or credit of India | Both Houses within 2 months; continues until revoked | Never |

In S. R. Bommai (1994) the Supreme Court held that a proclamation under Article 356 is open to judicial review, and that a government's majority must be tested on the floor of the House.

**Local self-government**

- **73rd Amendment, 1992 (Part IX, Eleventh Schedule, 29 subjects):** three-tier Panchayati Raj (village, intermediate and district level), Gram Sabha, five-year term, elections by State Election Commission, reservation for SC/ST and at least one-third seats for women, State Finance Commission.
- **74th Amendment, 1992 (Part IXA, Twelfth Schedule, 18 subjects):** Municipal Corporations (large cities), Municipal Councils (smaller towns) and Nagar Panchayats (areas changing from rural to urban), ward committees, District Planning Committee and Metropolitan Planning Committee.

## Landmark cases and examples

- **A. K. Gopalan v State of Madras (1950):** Articles 19, 21 and 22 were read separately; "procedure established by law" meant any procedure made by law.
- **Maneka Gandhi v Union of India (1978):** the procedure under Article 21 must be "just, fair and reasonable"; Articles 14, 19 and 21 are linked. This opened the way for the wide reading of the right to life.
- **Kesavananda Bharati v State of Kerala (1973):** basic structure doctrine. Examples of basic features: supremacy of the Constitution, secularism, federalism, separation of powers, judicial review, free and fair elections, rule of law.
- **Indra Sawhney v Union of India (1992):** OBC reservation upheld; total reservation normally capped at 50%; "creamy layer" excluded.
- **K. S. Puttaswamy v Union of India (2017):** right to privacy is a Fundamental Right under Article 21.
- **Olga Tellis (1985):** right to livelihood is part of the right to life.

## Key points to remember

- Adopted 26 November 1949; in force 26 January 1950.
- Part III = Fundamental Rights (12 to 35); Part IV = DPSP (36 to 51); Part IVA = Fundamental Duties (51A).
- Article 32 = Supreme Court writs; Article 226 = High Court writs (wider, also for legal rights).
- Article 368 = amendment; 352/356/360 = emergencies.
- 42nd Amendment: socialist, secular, integrity, Fundamental Duties. 44th: property removed from Part III; "armed rebellion".
- 73rd: panchayats (29 subjects); 74th: municipalities (18 subjects).

## ⭐ Important questions

1. Explain the meaning of constitutionalism. Describe the historical background and the salient features of the Indian Constitution.
2. Explain the Preamble and its key words. Is the Preamble part of the Constitution? (Berubari, Kesavananda Bharati.)
3. Describe the Fundamental Rights with articles. Explain the five writs.
4. Compare Fundamental Rights and Directive Principles. Write a note on Fundamental Duties.
5. "India is a quasi-federal state." Explain with Centre-State legislative, administrative and financial relations.
6. Explain the amendment procedure under Article 368 and the basic structure doctrine.
7. Explain the three types of emergency with their effects. Write a note on the 73rd and 74th Amendments.

# UNIT 2 Union and State Executive, Legislature and Judiciary

## ✍️ 2-mark definitions

- **Parliament (Article 79):** the President, the Lok Sabha (House of the People) and the Rajya Sabha (Council of States).
- **Lok Sabha:** the lower House directly elected by the people for five years. It has at most 550 elected members; at present there are 543 constituencies.
- **Rajya Sabha:** the upper House representing the states. It has at most 250 members (238 elected by state and UT legislatures and 12 nominated by the President). It is a permanent House; one-third of members retire every two years and each serves six years.
- **Money Bill (Article 110):** a bill only about taxes, borrowing or the Consolidated Fund. It can be introduced only in the Lok Sabha; the Rajya Sabha can only delay it by 14 days. The Speaker decides whether a bill is a Money Bill.
- **Joint sitting (Article 108):** a meeting of both Houses called by the President to resolve a deadlock on an ordinary bill; presided over by the Speaker. Not allowed for Money Bills or amendment bills.
- **Ordinance (Article 123):** a temporary law made by the President when Parliament is not in session. It must be approved within six weeks of Parliament reassembling.
- **Judicial review:** the power of courts to strike down a law or executive action that violates the Constitution (Articles 13, 32, 226).
- **Public Interest Litigation (PIL):** a case filed by any public-spirited person for the rights of people who cannot approach the court themselves. The court relaxes the rule of locus standi (who can file).
- **Judicial activism:** courts taking an active role to protect rights and fill gaps where the legislature or executive has failed.
- **Lokpal:** the anti-corruption ombudsman at the Union level under the Lokpal and Lokayuktas Act, 2013. A **Lokayukta** is its counterpart in each state.
- **Collegium:** the system in which the Chief Justice of India and senior judges recommend appointments and transfers of judges.

## 💡 Core concepts

### Powers of Parliament

1. Legislative: makes laws on the Union List, the Concurrent List and, in special cases, the State List.
2. Executive control: question hour, zero hour, adjournment and no-confidence motions; the Council of Ministers is collectively responsible to the Lok Sabha (Article 75(3)).
3. Financial: passes the Budget (Annual Financial Statement, Article 112), Demands for Grants and the Appropriation Bill; no tax without the authority of law (Article 265).
4. Constituent: amends the Constitution (Article 368).
5. Electoral: elects the President and Vice-President.

6. Judicial: impeaches the President and removes judges.

**Special powers of each House**

- Lok Sabha only: Money Bills, no-confidence motion, final say on the Budget.
- Rajya Sabha only: can authorize Parliament to legislate on a State List subject (Article 249) and create new All India Services (Article 312) by a two-thirds resolution; can approve an emergency proclamation when the Lok Sabha has been dissolved.

**President of India**

- Head of state, first citizen, supreme commander of the armed forces (Article 53). All executive action is taken in the President's name.
- Election (Articles 54, 55): by an electoral college of elected MPs and elected MLAs of the states, Delhi and Puducherry, by proportional representation using the single transferable vote. Term 5 years, re-election allowed. Impeachment for "violation of the Constitution" (Article 61) needs a two-thirds majority of the total membership of each House.
- Powers: executive (appoints PM, ministers, Governors, judges, CAG, Election Commissioners), legislative (summons and prorogues Houses, dissolves Lok Sabha, assent and veto, ordinances), financial (Money Bills need prior recommendation), judicial (pardon under Article 72), military, diplomatic and emergency powers.
- Veto: absolute (withhold assent), suspensive (return the bill once for reconsideration; must sign if passed again) and pocket (keep the bill pending, since there is no time limit).
- Article 74: the President acts on the advice of the Council of Ministers. The 42nd Amendment made the advice binding; the 44th allowed the President to send it back once for reconsideration.

**President of India vs President of the USA**

| Point | India | USA |
|---|---|---|
| Nature of executive | Nominal (constitutional) head; real power with the PM and Council of Ministers | Real executive; head of state and of government |
| Election | Indirect, by MPs and MLAs | Elected through the Electoral College, which is chosen by popular vote in each state |
| Term | 5 years, can be re-elected any number of times | 4 years, maximum two terms (22nd Amendment) |
| Relation with legislature | Part of Parliament; can dissolve the Lok Sabha | Not part of Congress; cannot dissolve it |
| Ministers | Must be members of Parliament; collectively responsible to the Lok Sabha | Secretaries are not members of Congress; responsible to the President |
| Veto | Absolute, suspensive and pocket; no veto on amendment bills | Qualified veto, which Congress can override by two-thirds; pocket veto |
| Removal | Impeachment for violation of the Constitution | Impeachment for "treason, bribery or other high crimes and misdemeanors" |

**Prime Minister**

- Appointed by the President (Article 75); normally the leader of the majority in the Lok Sabha. The real head of government.

- Functions: forms the Council of Ministers and allocates portfolios; chairs the Cabinet; link between the President and the Cabinet (Article 78); leader of the Lok Sabha (if a member); chief spokesperson on policy; chairs NITI Aayog, the National Development Council and other bodies.
- The total Council of Ministers cannot exceed 15% of the Lok Sabha's strength (91st Amendment, 2003).

**Supreme Court**

- Article 124: Chief Justice of India and up to 33 other judges (34 in total). A judge retires at 65.
- Jurisdiction: original (disputes between the Union and states, Article 131), writ (Article 32), appellate (Articles 132 to 136; special leave petition under Article 136), advisory (Article 143), and court of record with power to punish for contempt (Article 129). Its law binds all courts (Article 141).
- **Independence of the judiciary:** security of tenure (removal only by Parliament with a special majority for proved misbehaviour or incapacity, Article 124(4)); salaries charged on the Consolidated Fund and cannot be reduced to their disadvantage (except in a financial emergency); conduct of judges cannot be discussed in Parliament (Article 121); no practice after retirement (Article 124(7)); power to punish for contempt; separation of judiciary from executive (Article 50).
- **Appointment of judges:** First Judges case (1981) gave primacy to the executive. Second Judges case (1993) created the collegium (CJI plus two senior judges). Third Judges case (1998) widened it to the CJI plus four senior judges. The 99th Amendment (2014) created the National Judicial Appointments Commission (NJAC), but the Supreme Court struck it down in the Fourth Judges case (2015) as violating judicial independence, so the collegium continues.
- **Judicial review:** comes from Marbury v Madison (USA, 1803). In India it rests on Articles 13, 32, 131 to 136, 226 and 227. Courts can review legislation, executive action and even constitutional amendments (against the basic structure).
- **PIL:** pioneered by Justice P. N. Bhagwati and Justice V. R. Krishna Iyer around 1979 to 1981 (Hussainara Khatoon 1979 on undertrial prisoners; S. P. Gupta 1981 on locus standi). Even a letter or postcard can be treated as a petition ("epistolary jurisdiction"). Guidelines prevent misuse: the petitioner must act in good faith, not for private gain or publicity.
- **Judicial activism examples:** Vishaka (1997, guidelines on sexual harassment at the workplace), M. C. Mehta cases (pollution, CNG buses in Delhi), Olga Tellis (right to livelihood), food security and right to education cases. Criticism: "judicial overreach" when courts enter the policy domain.

**Lokpal and Lokayuktas Act, 2013**

- Lokpal: a Chairperson and up to 8 members. At least half the members must be judicial members, and at least half must be from SC, ST, OBC, minorities or women.
- Selection committee: Prime Minister, Speaker of the Lok Sabha, Leader of the Opposition (or the leader of the largest opposition party), the Chief Justice of India or a judge nominated by the CJI, and an eminent jurist nominated by the President.
- Jurisdiction: the Prime Minister (with safeguards; not on international relations, security, public order, atomic energy or space), Union ministers, MPs, and Group A to D officers of the Union; also bodies funded by government and NGOs receiving foreign donations above a limit.
- Has an inquiry wing and a prosecution wing; it can order attachment of property acquired by corruption. Every state had to set up a Lokayukta within one year of the Act. The first Lokpal Chairperson (2019) was Justice Pinaki Chandra Ghose.

**State executive, legislature and judiciary**

- **Governor (Articles 153 to 162):** appointed by the President and holds office during the President's pleasure (normally five years). Constitutional head of the state; appoints the Chief Minister; can reserve a bill for the President (Article 200); issues ordinances (Article 213); grants pardons for state offences (Article 161); reports to the President under Article 356. Discretionary powers include choosing a CM when no party has a majority.
- **Chief Minister and Council of Ministers (Article 164):** the real executive of the state, collectively responsible to the Legislative Assembly.
- **State legislature:** unicameral in most states. Six states have a Legislative Council (Vidhan Parishad) as well: Uttar Pradesh, Bihar, Maharashtra, Karnataka, Andhra Pradesh and Telangana. A Council can be created or abolished under Article 169.
- **High Courts (Articles 214 to 231):** one for each state or group of states (25 at present). Judges retire at 62. Writ jurisdiction under Article 226 is wider than the Supreme Court's under Article 32, since it covers "any other purpose" (legal rights as well). Supervises all subordinate courts (Article 227).
- **Subordinate courts (Articles 233 to 237):** District Judge appointed by the Governor in consultation with the High Court. On the civil side: District Judge, Civil Judge (Senior Division), Civil Judge (Junior Division). On the criminal side: Sessions Judge, Chief Judicial Magistrate, Judicial Magistrate.

## Landmark cases and examples

- **S. R. Bommai (1994):** limits on President's Rule; floor test.
- **Second Judges case (1993)** and **NJAC case (2015):** collegium system.
- **Vishaka v State of Rajasthan (1997):** guidelines that later led to the POSH Act, 2013.
- **Hussainara Khatoon (1979):** speedy trial is part of Article 21; release of thousands of undertrial prisoners.
- **Shamsher Singh (1974):** the President and Governor act on ministerial advice except where the Constitution gives discretion.

## Key points to remember

- Lok Sabha: up to 550 elected; 5-year term. Rajya Sabha: up to 250 (12 nominated); permanent.
- Money Bill: Article 110; Rajya Sabha delay 14 days. Joint sitting: Article 108.
- President: Articles 52 to 62; impeachment Article 61; ordinance Article 123; pardon Article 72.
- PM: Article 75; Council of Ministers at most 15% of the Lok Sabha.
- Supreme Court: Article 124; 34 judges; retire 65. High Court judges retire 62.
- Lokpal and Lokayuktas Act 2013: Chairperson plus up to 8 members.

## ⭐ Important questions

1. Explain the composition and powers of Parliament. Compare the Lok Sabha and the Rajya Sabha.
2. Discuss the powers of the President of India and compare them with the powers of the President of the USA.
3. Explain the position, powers and functions of the Prime Minister.
4. How does the Constitution ensure the independence of the Supreme Court? Explain how judges are appointed (collegium vs NJAC).

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5. Write notes on judicial review, Public Interest Litigation and judicial activism with cases.
6. Explain the main features of the Lokpal and Lokayuktas Act, 2013.
7. Describe the state executive: Governor, Chief Minister and Council of Ministers. Write a note on High Courts and subordinate courts.

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# UNIT 3 Introduction to the Legal System

## ✍️ 2-mark definitions

- **Law:** a set of rules made and enforced by the state to regulate conduct, with penalties for breaking them.
- **Sources of law:** where law comes from: legislation (enacted law), precedent (case law) and custom.
- **Enacted law (statute):** law made by a legislature. Primary legislation is an Act of Parliament or a state legislature; delegated (subordinate) legislation is rules and regulations made by the executive under an Act.
- **Case law (precedent):** principles laid down by higher courts that lower courts must follow (stare decisis, "stand by what is decided").
- **Ratio decidendi:** the legal reason for a decision; it is binding. **Obiter dicta:** remarks made "by the way"; they are only persuasive.
- **Tribunal:** a specialised body that decides disputes in one area, with members who have technical expertise (for example the National Green Tribunal or NCLT).
- **Arbitration:** settling a dispute privately by one or more arbitrators chosen by the parties; the arbitrator's decision (award) is binding.
- **Contract (Indian Contract Act 1872, Section 2(h)):** an agreement enforceable by law.
- **Consideration (Section 2(d)):** something in return (an act, a promise or abstaining from an act) given at the request of the promisor.
- **Tort:** a civil wrong, other than a breach of contract, for which the remedy is unliquidated damages (an amount decided by the court).
- **Negligence:** failing to take the care a reasonable person would take, causing harm to someone to whom a duty of care is owed.
- **Vicarious liability:** liability of one person for another's wrong, for example an employer for an employee's act in the course of employment.

## 💡 Core concepts

### Sources of law in India

1. **Legislation:** the Constitution (supreme), Acts of Parliament and state legislatures, delegated legislation (rules, regulations, by-laws, notifications).
2. **Precedent:** under Article 141, law declared by the Supreme Court binds all courts. High Court decisions bind the courts below them in that state.
3. **Custom:** a long-standing, reasonable and certain practice can have the force of law (common in personal and family law).
4. Others: equity, justice and good conscience; international treaties once Parliament enacts them; legal writings (persuasive only).

### Enacted law vs case law

| Enacted law | Case law |
|---|---|
| Made by the legislature | Made by judges while deciding cases |
| Written in general terms in advance | Arises from the facts of a particular case |
| Can be made on any subject at any time | Develops only when a dispute reaches court |
| Debated democratically | Fills gaps and interprets statutes |

**Structure of courts in India**

- Supreme Court → High Courts → District and Sessions Courts → Civil Judges and Judicial Magistrates. Lok Adalats and Family Courts sit alongside.
- **District courts:** the principal civil court of original jurisdiction in each district. The same judge acting on the criminal side is the Sessions Judge (can award any sentence, but a death sentence must be confirmed by the High Court).
- **Consumer forums (Consumer Protection Act, 2019):** three-tier commissions. Under the 2021 rules: District Commission (claims up to ₹50 lakh), State Commission (₹50 lakh to ₹2 crore), National Commission (above ₹2 crore). Complaints can be filed online (e-Daakhil). The 2019 Act also created the Central Consumer Protection Authority and added product liability and e-commerce rules.
- **Tribunals:** Central Administrative Tribunal (service matters of government employees, Article 323A), Income Tax Appellate Tribunal, National Company Law Tribunal (company and insolvency cases), National Green Tribunal (environment, 2010), Armed Forces Tribunal, Telecom Disputes Settlement and Appellate Tribunal (TDSAT). Benefits: speed, expertise, lower cost, less formal procedure.
- **Courts abroad:** USA: dual system of federal courts (District Courts → Courts of Appeals → Supreme Court) and separate state courts. UK: Magistrates' Courts and County Courts → Crown Court and High Court → Court of Appeal → Supreme Court of the UK (created 2009). Unlike the USA, India has a single integrated judiciary.

**Arbitration (Arbitration and Conciliation Act, 1996)**

- Based on the UNCITRAL Model Law. There must be a written arbitration agreement (Section 7), usually an arbitration clause in the contract.
- Process: dispute arises → notice to the other party → appointment of arbitrator(s), an odd number → statement of claim and defence → hearings → award.
- The award is final and binding and is enforced like a court decree (Section 36). It can be set aside only on limited grounds such as incapacity, invalid agreement, lack of notice, or conflict with public policy (Section 34).
- Section 29A (added 2015): the award should normally be made within 12 months, extendable by 6 months by consent.
- **Advantages over litigation:** faster, confidential, parties choose an expert arbitrator (useful in engineering and construction disputes), flexible procedure, less formal, award enforceable internationally under the New York Convention.
- **Other forms of ADR:** negotiation, mediation (Mediation Act, 2023), conciliation, Lok Adalat (Legal Services Authorities Act, 1987; its award is final with no appeal).

**Contract law (Indian Contract Act, 1872)**

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- **Essentials of a valid contract (Section 10):** offer and acceptance; intention to create legal relations; lawful consideration; capacity of parties (major, of sound mind, not disqualified by law); free consent; lawful object; not expressly declared void; certainty and possibility of performance.
- Free consent is absent when there is coercion (Section 15), undue influence (16), fraud (17), misrepresentation (18) or mistake (20 to 22). Such a contract is usually voidable at the option of the party whose consent was not free.
- **Types:** valid, void (no legal effect), voidable, illegal, express and implied, executed and executory, contingent (Section 31), quasi-contract.
- **Discharge:** by performance, mutual agreement, impossibility or frustration (Section 56), lapse of time, operation of law, or breach.
- **Remedies for breach:** damages (Section 73: ordinary damages that arise naturally from the breach, as in Hadley v Baxendale, 1854), liquidated damages or penalty clause (Section 74), specific performance, injunction, quantum meruit (payment for work done), rescission.
- **Why engineers need it:** tenders, work orders, EPC and construction contracts, software development and service-level agreements, non-disclosure agreements, force majeure clauses and liquidated damages for delay.

**Law of torts**

- Essentials: a wrongful act or omission, legal damage (violation of a legal right), and a legal remedy. "Injuria sine damno" (violation of a right without loss) is actionable; "damnum sine injuria" (loss without violation of a right) is not.
- **Negligence:** duty of care, breach of that duty, and damage caused by the breach (Donoghue v Stevenson, 1932: the "neighbour principle" from the snail-in-the-bottle case).
- **Strict liability (Rylands v Fletcher, 1868):** a person who keeps something dangerous on their land is liable if it escapes and causes harm, even without negligence. Exceptions: act of God, plaintiff's own fault, consent, act of a third party, statutory authority.
- **Absolute liability (M. C. Mehta v Union of India, 1987, oleum gas leak in Delhi):** an enterprise carrying on a hazardous activity is absolutely liable with no exceptions, and compensation is linked to the size and capacity of the enterprise. This is important for engineers in chemical and process industries (also relevant to the Bhopal gas disaster, 1984).
- Other torts: trespass, nuisance (public and private), defamation (libel in writing, slander in speech), false imprisonment, malicious prosecution.
- General defences: volenti non fit injuria (consent), act of God, inevitable accident, private defence, necessity, statutory authority, plaintiff's own fault.

**Law at the workplace**

- **Labour codes:** Parliament combined 29 central labour laws into four codes: Code on Wages (2019), Industrial Relations Code (2020), Code on Social Security (2020), and Occupational Safety, Health and Working Conditions Code (2020). They cover minimum and timely wages, equal pay for men and women, working hours, safety committees, provident fund, ESI, gratuity, maternity benefit, and rules on strikes and layoffs.
- **Factories Act, 1948** (now folded into the OSH Code): licensing, health (cleanliness, ventilation, drinking water), safety (fencing of machinery), welfare (canteens, crèches), working hours, no child labour.

- **Maternity Benefit (Amendment) Act, 2017:** 26 weeks of paid leave; crèche facility for establishments with 50 or more employees.
- **Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH):** every employer with 10 or more employees must set up an Internal Committee; a Local Committee exists at district level; complaints within 3 months; inquiry within 90 days.
- Other areas: Employees' Compensation Act, 1923 (injury at work), equal opportunity and anti-discrimination, Rights of Persons with Disabilities Act, 2016, employment contracts, non-compete and confidentiality clauses, workplace data privacy.

## Landmark cases and examples

- **Mohori Bibee v Dharmodas Ghose (1903):** an agreement with a minor is void from the beginning.
- **Carlill v Carbolic Smoke Ball Co. (1893):** a general offer to the public can be accepted by anyone who performs its conditions.
- **Lalman Shukla v Gauri Dutt (1913):** acceptance needs knowledge of the offer.
- **Donoghue v Stevenson (1932):** duty of care; manufacturer liable to the final consumer.
- **M. C. Mehta (1987):** absolute liability for hazardous industries.
- **Example of arbitration in engineering:** a contractor claims extra payment for delays caused by late drawings. The contract's arbitration clause sends the dispute to a panel of three (one engineer nominated by each side, and a presiding arbitrator), which decides in months instead of years in court.

## Key points to remember

- Article 141: Supreme Court law binding on all courts.
- Arbitration and Conciliation Act 1996: Section 7 (agreement), Section 29A (12 months), Section 34 (setting aside), Section 36 (enforcement).
- Indian Contract Act 1872: Sections 2(h), 2(d), 10, 15 to 18, 56, 73, 74.
- Consumer commission limits (2021): ₹50 lakh / ₹2 crore.
- POSH Act 2013: Internal Committee for 10 or more employees.
- Strict liability (Rylands, 1868) has exceptions; absolute liability (M. C. Mehta, 1987) has none.

## ⭐ Important questions

1. Explain the sources of law. Distinguish enacted law from case law with examples.
2. Describe the structure of courts in India and compare it with the system in the USA or UK. Write a note on consumer forums and tribunals.
3. What is arbitration? Explain its procedure and its advantages over court litigation.
4. Define a contract and explain the essentials of a valid contract. What remedies are available for breach?
5. Explain the law of torts: negligence, strict liability and absolute liability, with cases.
6. Write a note on laws that protect employees at the workplace.

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# UNIT 4 Intellectual Property Law and Regulation of Information

## ✍️ 2-mark definitions

- **Intellectual property (IP):** creations of the mind (inventions, literary and artistic works, designs, symbols and names) that the law protects as property.
- **Patent:** an exclusive right granted by the government for an invention for 20 years from the filing date, in return for full public disclosure of the invention.
- **Invention (Patents Act, 1970):** a new product or process involving an inventive step and capable of industrial application.
- **Prior art:** everything made public anywhere before the filing date; it is used to judge novelty and inventive step.
- **Copyright:** the exclusive right of the author of an original literary, dramatic, musical or artistic work, film or sound recording to reproduce, publish, adapt and communicate it. Computer programs are protected as literary works.
- **Trademark:** a sign (word, logo, colour, shape, sound) that distinguishes the goods or services of one business from others (Trade Marks Act, 1999; 10 years, renewable).
- **Geographical Indication (GI):** a sign on goods that come from a particular place and owe their quality to it, for example Darjeeling tea (India's first GI, 2004) or Banarasi saree.
- **Industrial design:** the shape, pattern or ornamentation of an article (Designs Act, 2000; 10 years, extendable by 5).
- **Right to Information (RTI):** the right of every citizen to get information held by public authorities (RTI Act, 2005).
- **Electronic record:** data, image or sound stored, received or sent in electronic form (IT Act, Section 2(1)(t)).
- **Digital signature:** a way of authenticating an electronic record using an asymmetric key pair and a hash function (IT Act, Section 3).
- **Cyber crime:** a crime in which a computer or network is the tool, the target, or both.

## 💡 Core concepts

### Types of IPR at a glance

| IP right | Indian law | What it protects | Term |
|---|---|---|---|
| Patent | Patents Act, 1970 | Inventions (products and processes) | 20 years from filing |
| Copyright | Copyright Act, 1957 | Original works, software, films, sound recordings | Author's life + 60 years (literary, musical, artistic works) |
| Trademark | Trade Marks Act, 1999 | Brand names, logos | 10 years, renewable indefinitely |
| Industrial design | Designs Act, 2000 | Appearance of products | 10 + 5 = 15 years |

| IP right | Indian law | What it protects | Term |
|---|---|---|---|
| Geographical Indication | GI of Goods Act, 1999 | Regional products | 10 years, renewable |
| Semiconductor layout | SICLD Act, 2000 | Chip layout designs | 10 years |
| Trade secret | No separate law (contract and equity) | Confidential business information | As long as kept secret |

The TRIPS Agreement (WTO, 1995) sets minimum standards of IP protection for all member countries.

**Patents: what can be patented**

- Three tests: **novelty** (not in prior art anywhere in the world), **inventive step** (a technical advance or economic significance that is not obvious to a person skilled in the art), **industrial application** (can be made or used in an industry).
- Not patentable (Section 3): frivolous inventions, discoveries of natural substances, new forms of known substances without enhanced efficacy (3(d), applied in Novartis v Union of India, 2013), methods of agriculture, medical treatment methods, a mathematical or business method, a computer programme per se or an algorithm (3(k)), literary works, traditional knowledge. Atomic energy inventions are excluded by Section 4.
- A software-related invention can be patented only if it shows a technical effect or technical contribution beyond the program itself (for example improving how hardware works).

**Patent filing procedure in India**

1. Prior-art search to check patentability.
2. File the application (Form 1) with a **provisional specification** (to secure an early priority date; the complete specification must follow within 12 months) or directly a **complete specification** (Form 2: title, field, background, summary, detailed description, drawings, claims, abstract).
3. **Publication** in the Patent Journal after 18 months from the priority date (earlier on request, Form 9). Rights begin from the date of publication.
4. **Request for examination** (Form 18) within 31 months from the priority date (reduced from 48 months by the Patents (Amendment) Rules, 2024).
5. **Examination** and First Examination Report (FER); the applicant must reply and meet all objections within the time allowed.
6. **Pre-grant opposition** (Section 25(1)) by any person after publication and before grant.
7. **Grant** and publication of the grant. **Post-grant opposition** (Section 25(2)) by an interested person within one year of the grant being published.
8. Pay **renewal fees** every year to keep the patent alive for 20 years. - Patent offices: Kolkata (head office), Delhi, Mumbai and Chennai, under the Controller General of Patents, Designs and Trade Marks. Startups, MSMEs and students get fee concessions and expedited examination.

**Rights of a patentee (Section 48):** for a product, the exclusive right to prevent others from making, using, offering for sale, selling or importing it in India; for a process, the right to prevent others from using the process and from selling products made directly by it. The patentee can also assign or license the patent (licences must be in writing and registered).

**Patent infringement**

- Infringement means doing any of the exclusive acts without the patentee's consent. A claim is infringed if every element of it is present in the accused product (literal infringement) or an equivalent is present (doctrine of equivalents).
- The suit is filed in a District Court or a High Court. Remedies: injunction (temporary and permanent), damages or account of profits, and seizure or destruction of infringing goods.
- Defences: the patent is invalid (counter-claim for revocation), no infringement, experimental and research use (Section 47), the "Bolar" exemption for regulatory approval (Section 107A), parallel import (107A(b)), and compulsory licence (Section 84; Natco v Bayer, 2012, India's first compulsory licence, for the cancer drug Nexavar).

**Copyright**

- Works protected (Section 13): original literary (including computer programs and databases), dramatic, musical and artistic works; cinematograph films; sound recordings. Copyright protects the expression, not the idea. Protection is automatic; registration is optional but is useful as evidence.
- **Ownership (Section 17):** the author is the first owner. Exceptions: work done by an employee in the course of employment belongs to the employer unless agreed otherwise; for a photograph, painting or film made for valuable consideration at someone's instance, that person owns it; government works belong to the government. Ownership can be assigned in writing (Section 18, 19); if the term is not stated, the assignment lasts 5 years, and if the territory is not stated, it covers India.
- **Moral rights (Section 57):** the author's right to be named (paternity) and to object to distortion (integrity). These stay with the author even after assignment.
- **Infringement (Section 51):** doing any exclusive act without a licence, for example copying software, uploading a film online, or selling pirated books. **Fair dealing (Section 52)** is not infringement: private study and research, criticism and review, reporting current events, a backup copy of a program by its lawful owner, reverse engineering for interoperability.
- **Civil remedies (Sections 55 to 58):** injunction (including interim injunction and Anton Piller orders to search and seize evidence, and John Doe orders against unknown infringers), damages, account of profits, and delivery up of infringing copies. **Criminal remedies (Section 63):** imprisonment from 6 months to 3 years and a fine of ₹50,000 to ₹2 lakh. Border measures: customs can stop pirated imports (Section 53).

**Right to Information Act, 2005**

- In force from 12 October 2005. Any citizen can request information from a public authority by a written or online application (rtionline.gov.in) with a fee of ₹10 (free for people below the poverty line). No reason needs to be given.
- The Public Information Officer (PIO) must reply within **30 days**, within **48 hours** if it concerns life or liberty, and within 35 days if filed through an Assistant PIO.
- **First appeal** to the First Appellate Authority (a senior officer in the same department) within 30 days. **Second appeal** to the Central or State Information Commission within 90 days.
- **Exemptions (Section 8):** information affecting sovereignty and security, information forbidden by courts, breach of privilege of Parliament, commercial confidence and trade secrets, information from foreign governments, information that would endanger life, impede investigation, cabinet papers, and personal information with no public interest. Section 9 exempts information that would infringe copyright of a non-state person. Section 24 exempts some intelligence and security organisations, except for allegations of corruption and human rights violations.

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- **Section 4:** public authorities must publish information proactively (suo motu disclosure).
- **Penalty (Section 20):** ₹250 per day of delay, up to ₹25,000, on the PIO.
- Importance: transparency, accountability, reduced corruption, citizen participation.

**Information Technology Act, 2000**

- In force from 17 October 2000, based on the UNCITRAL Model Law on Electronic Commerce (1996). Major amendment in 2008.
- **Objectives:** legal recognition of electronic records and transactions; legal recognition of digital signatures; e-filing with government; amend the Indian Penal Code (now Bharatiya Nyaya Sanhita), the Evidence Act and the RBI Act to accept electronic evidence; define and punish cyber offences.
- **E-governance (Sections 4 to 10A):** legal recognition of electronic records (4) and electronic signatures (5); use of electronic records in government (6); retention of records electronically (7); publication in the electronic Gazette (8); electronic contracts are valid (10A).
- **Secure electronic records and signatures (Sections 14 to 16):** a record is secure if a security procedure has been applied to it; a signature is secure if it was under the exclusive control of the signer at the time of signing.
- **Digital signature mechanism:** the sender computes a hash of the message and encrypts it with their private key; the receiver decrypts the signature with the sender's public key and compares it with a fresh hash of the message. A match proves authenticity (the sender signed it), integrity (not altered) and non-repudiation (the sender cannot deny it).
- **Digital Signature Certificate (DSC):** an electronic certificate issued by a licensed Certifying Authority (CA) that binds a public key to a person. The Controller of Certifying Authorities (CCA) licenses and regulates CAs (Sections 17 to 34). The CA issues, suspends and revokes DSCs (Sections 35 to 39). Used for e-filing income tax, MCA21 company filings, e-tendering and GST.
- **Cyber Appellate Tribunal (Section 48):** heard appeals against orders of adjudicating officers under the Act. By the Finance Act, 2017 its functions were transferred to the Telecom Disputes Settlement and Appellate Tribunal (TDSAT). Appeals from it go to the High Court.
- **Penalties and offences:**

| Section | Offence | Punishment (main points) |
|---|---|---|
| 43 | Unauthorized access, downloading, virus, damage, denial of service | Compensation to the affected person (civil) |
| 43A | Body corporate fails to protect sensitive personal data | Compensation |
| 65 | Tampering with computer source code | Up to 3 years or fine up to ₹2 lakh, or both |
| 66 | Dishonestly or fraudulently doing any act in Section 43 (hacking) | Up to 3 years or fine up to ₹5 lakh, or both |
| 66C | Identity theft (misusing passwords or signatures) | Up to 3 years and fine up to ₹1 lakh |
| 66D | Cheating by personation using a computer (phishing) | Up to 3 years and fine up to ₹1 lakh |
| 66E | Violation of privacy (capturing or sharing private images) | Up to 3 years or fine up to ₹2 lakh |
| 66F | Cyber terrorism | Up to life imprisonment |

| Section | Offence | Punishment (main points) |
|---|---|---|
| 67, 67A, 67B | Publishing obscene, sexually explicit, or child sexual abuse material | Up to 5 to 7 years and fine |
| 72 | Breach of confidentiality and privacy by a person with lawful access | Up to 2 years or fine up to ₹1 lakh |

Section 66A (offensive messages) was struck down in **Shreya Singhal v Union of India (2015)** for violating free speech. Section 79 gives intermediaries (platforms) a safe harbour if they follow due diligence and remove unlawful content on notice. - **Limitations of the IT Act:** 1. It does not apply to negotiable instruments (other than cheques), powers of attorney, trusts, wills, or contracts for sale of immovable property (First Schedule). 2. Jurisdiction over offences committed from abroad is hard to enforce. 3. It does not deal well with new issues: cryptocurrency, spam, cyber-stalking, deepfakes, and data protection (now covered by the Digital Personal Data Protection Act, 2023). 4. Penalties are low for large companies; low conviction rate; police lack cyber-forensics training. 5. Wide powers of interception and blocking (Sections 69, 69A) raise privacy concerns.

## Landmark cases and examples

- **Novartis v Union of India (2013):** patent for a new form of the cancer drug Glivec refused under Section 3(d).
- **Natco v Bayer (2012):** first compulsory licence in India.
- **Eastern Book Company v D. B. Modak (2008):** copyright needs a "modicum of creativity", not just skill and labour.
- **Shreya Singhal (2015):** Section 66A struck down.
- **Example of a DSC in use:** a contractor bids in a government e-tender on the CPPP portal; the bid is signed with a Class 3 DSC on a USB token, which proves who submitted it and that it was not changed after submission.

## Key points to remember

- Patent: 20 years; novelty, inventive step, industrial application; Section 3(k) excludes software per se.
- Publication at 18 months; request for examination within 31 months; post-grant opposition within 1 year.
- Copyright: life + 60 years; Section 14 rights; Section 17 ownership; Section 51 infringement; Section 52 fair dealing; Section 55 civil remedies.
- RTI: 30 days / 48 hours; first appeal 30 days; second appeal 90 days; penalty ₹250/day up to ₹25,000.
- IT Act: 17 October 2000; amended 2008; Sections 43, 65, 66, 66C to 66F, 67, 72; 66A struck down.

## ⭐ Important questions

1. What is intellectual property? Explain the types of IPR with their laws and terms.
2. Explain the criteria for patentability and the procedure for filing a patent in India.
3. What are the rights of a patentee? Explain patent infringement and its remedies.

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4. Explain copyright: works protected, ownership, infringement, fair dealing and civil remedies.
5. Explain the main provisions of the RTI Act, 2005 and its importance.
6. Describe the IT Act, 2000: its objectives, digital signatures, Certifying Authorities, the Cyber Appellate Tribunal, offences and limitations.

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# UNIT 5 Business Organizations and E-Governance

## ✍️ 2-mark definitions

- **Sole proprietorship (sole trader):** a business owned and run by one person, who takes all the profit and has unlimited liability.
- **Partnership (Indian Partnership Act, 1932, Section 4):** the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.
- **Limited Liability Partnership (LLP Act, 2008):** a hybrid body corporate with the flexibility of a partnership and the limited liability of a company.
- **Company:** an artificial legal person registered under the Companies Act, with a separate legal entity, perpetual succession and (usually) limited liability.
- **Memorandum of Association (MOA):** the charter of a company. It defines the company's scope and its relationship with the outside world.
- **Articles of Association (AOA):** the internal rules for managing the company.
- **Prospectus (Section 2(70)):** a document inviting the public to buy a company's shares or debentures.
- **Share:** a unit of the share capital of a company.
- **Director:** a person appointed to the board of a company; together the board manages the company. Every director needs a Director Identification Number (DIN).
- **Winding up:** the process of ending a company's life by selling its assets, paying its debts and distributing any remainder to its members.
- **E-governance:** using information and communication technology to deliver government services, exchange information and improve administration.

## 💡 Core concepts

### Forms of business organisation compared

| Point | Sole proprietorship | Partnership | Company |
|---|---|---|---|
| Law | No special law | Indian Partnership Act, 1932 | Companies Act, 2013 |
| Members | One | 2 to 50 | Private: 2 to 200; public: at least 7, no maximum; OPC: 1 |
| Legal status | Not separate from the owner | Not separate from the partners | Separate legal entity |
| Liability | Unlimited | Unlimited, joint and several | Limited (by shares or guarantee) |
| Formation | Easiest | Partnership deed; registration optional | Registration compulsory |
| Continuity | Ends with the owner | Affected by death or retirement of a partner | Perpetual succession |

| Point | Sole proprietorship | Partnership | Company |
|---|---|---|---|
| Transfer of interest | Owner can sell the business | Needs consent of all partners | Shares are transferable (restricted in a private company) |
| Capital | Limited | Moderate | Large |

**Partnership:** a partnership deed sets out the capital, profit-sharing ratio, salaries, interest, and rules on admission and retirement. If the deed is silent, profits are shared equally and no interest is paid on capital. An unregistered firm cannot sue a third party to enforce a contract (Section 69). Types of partners: active, sleeping, nominal, partner by estoppel, minor admitted to benefits. Dissolution by agreement, by notice (partnership at will), on insolvency, or by court order.

**Companies Act, 2013**

- **Features of a company:** separate legal entity (Salomon v Salomon, 1897), limited liability, perpetual succession, transferable shares, can own property and sue or be sued in its own name, separation of ownership and management.
- **Types:** private company (restricts share transfer, cannot invite the public), public company, One Person Company (OPC), government company (at least 51% held by government), holding and subsidiary companies, Section 8 company (not for profit), listed company.
- **Formation:** (1) promotion; (2) name reservation and incorporation through the SPICe+ form on the MCA21 portal, with MOA, AOA, declarations and DIN and DSC of directors; (3) the Registrar of Companies (ROC) issues the Certificate of Incorporation with a Corporate Identity Number (CIN); (4) commencement of business declaration within 180 days (Section 10A).
- **MOA clauses (Section 4):** name clause (ending in "Limited" or "Private Limited"), registered office clause (state), object clause, liability clause, capital clause, and subscription (association) clause. **Doctrine of ultra vires:** any act beyond the object clause is void and cannot be ratified even by all shareholders (Ashbury Railway Carriage v Riche, 1875).
- **AOA (Section 5):** rules on share issue and transfer, meetings, voting, appointment and powers of directors, dividends, borrowing. A company can adopt the model articles in Table F of Schedule I. AOA can be changed by special resolution; it must not conflict with the MOA or the Act.
- **Doctrine of constructive notice:** outsiders are presumed to know the contents of the MOA and AOA (public documents). **Doctrine of indoor management (Royal British Bank v Turquand, 1856):** outsiders dealing in good faith can assume internal procedures have been properly followed.
- **Prospectus:** must disclose the company's business, management, capital structure, risk factors, financial statements and use of proceeds, as required by SEBI. Types: red herring prospectus (without final price or quantity), shelf prospectus (for several issues over up to one year), abridged prospectus, deemed prospectus. Misstatement leads to civil liability (Section 35) and criminal liability (Section 34).
- **Shares:** equity shares (voting rights, residual dividend) and preference shares (preference in dividend and in repayment of capital on winding up; no normal voting rights). Also sweat equity (for employees' know-how), bonus shares, rights shares, and employee stock options (ESOPs).
- **Directors (Sections 149 to 172):** minimum 3 in a public company, 2 in a private company, 1 in an OPC; maximum 15 (more by special resolution). At least one director must have stayed in India for 182 days in the previous year. Listed and certain public companies need at least one woman director, and listed companies need at least one-third independent directors. Duties (Section 166): act in good faith, in

the best interests of the company and stakeholders, with due care, avoid conflict of interest, no undue gain.

- **General meetings:** Annual General Meeting (AGM) within 6 months of the end of the financial year, not more than 15 months after the previous AGM (the first AGM within 9 months of the first financial year's end); Extraordinary General Meeting (EGM) for urgent business; 21 days' notice. Quorum for a public company: 5 members (up to 1,000 members), 15 (1,000 to 5,000), 30 (above 5,000); for a private company: 2 members. Ordinary resolution: simple majority; special resolution: at least three times as many votes in favour as against.
- **Auditors (Sections 139 to 148):** the first auditor is appointed by the board within 30 days of incorporation. Later auditors are appointed at the AGM for a term of 5 years. Listed companies must rotate auditors: an individual can serve one term of 5 years, an audit firm two terms of 5 years each. The auditor reports to members on whether the accounts give a true and fair view. The CAG appoints auditors of government companies.
- **Winding up:** compulsory winding up by the National Company Law Tribunal (Section 271), for example when the company acts against the sovereignty of India, by special resolution, for fraud, or when it is just and equitable. Voluntary liquidation is now under Section 59 of the Insolvency and Bankruptcy Code, 2016. A liquidator sells the assets and pays creditors in the order of priority; the company is then dissolved.

**E-governance**

- **Models:** G2C (government to citizen: passports, certificates, tax filing), G2B (government to business: company registration, GST, e-procurement), G2G (between departments: data sharing), G2E (government to employee: payroll, training).
- **Indian initiatives:** National e-Governance Plan (2006, Mission Mode Projects), Digital India (2015), Aadhaar, DigiLocker, UMANG app, Common Service Centres, MCA21 (company filings), GSTN, Government e-Marketplace (GeM), Central Public Procurement Portal (e-tendering), Passport Seva, BHIM-UPI, CoWIN, e-Courts.
- **Benefits:** transparency, speed, lower cost, less corruption (fewer intermediaries), 24×7 access, better data for policy.
- **Challenges:** digital divide (rural connectivity, literacy), cybersecurity and privacy, interoperability between departments, language barriers, resistance to change.
- **Role of the engineer in e-governance:** study existing manual processes and redesign them (business process re-engineering); design scalable, secure systems (cloud, APIs, open standards); ensure interoperability, accessibility (multilingual, for people with disabilities) and data protection; plan the project lifecycle (requirements, design, development, testing, deployment, maintenance, monitoring); train users; maintain uptime and security audits.
- **Need for reformed engineering services at Union and state levels:** public works suffer from delays, cost overruns and poor quality. Reforms include e-tendering and e-measurement books to reduce corruption; independent technical audit and quality control; specialist cadres (IT, environment, project management) and lateral entry of experts; continuous training in modern technologies (BIM, GIS, drones); performance-based promotion; and real-time project monitoring dashboards. Engineers should be included in policy-making, not only execution.
- **Role of IT professionals in the judiciary:** the e-Courts Mission Mode Project (Phases I to III) digitises courts. IT professionals build and maintain case management systems; e-filing and e-payment of court fees; the National Judicial Data Grid (NJDG), which shows pending cases for every court;

video-conferencing for hearings; digitisation of records; virtual courts for traffic challans; AI tools such as SUPACE (research assistance) and SUVAS (translation of judgments into Indian languages); cybersecurity of court data and digital forensics as expert evidence. Benefits: faster disposal, transparency, access from remote areas, reduced pendency.

- **Alienation and secessionism as obstacles to industrial development:** in some regions, long-running insurgency, separatist movements, ethnic conflict and Left Wing Extremism have caused a sense of alienation from the state. Effects on industry: investors avoid the area because of security risks, extortion and frequent shutdowns; infrastructure projects (roads, power, telecom) are delayed or attacked; skilled people migrate out; tourism falls; and the region falls further behind, which deepens alienation. Remedies: inclusive development and jobs for local youth, better connectivity (roads, rail, digital), special industrial incentives, respect for local culture and autonomy, good governance and dialogue, and skill development. Engineers contribute by building the infrastructure that integrates such regions with the national economy.

## Landmark cases and examples

- **Salomon v Salomon & Co. (1897):** a company is a separate legal person from its members.
- **Ashbury Railway Carriage v Riche (1875):** an act beyond the object clause is ultra vires and void.
- **Royal British Bank v Turquand (1856):** doctrine of indoor management.
- **Example:** three engineering graduates start a software firm. As a partnership they would each be personally liable for all debts. Registering a private limited company gives them limited liability, a separate legal entity that can raise capital from investors, and continuity even if one founder leaves.

## Key points to remember

- Partnership: 2 to 50 partners; Indian Partnership Act 1932; Section 69 (effect of non-registration).
- Private company: 2 to 200 members; public: at least 7; OPC: 1.
- Directors: 3 / 2 / 1 minimum; maximum 15; one resident director; woman director; one-third independent (listed).
- MOA: 6 clauses; AOA: Table F; ultra vires, constructive notice, indoor management.
- AGM within 6 months of year-end and within 15 months of the last AGM.
- Auditor term 5 years; rotation for listed companies.
- E-governance models: G2C, G2B, G2G, G2E.

## ⭐ Important questions

1. Compare sole proprietorship, partnership and company.
2. Explain the formation of a company. Describe the contents of the MOA and AOA and the doctrines of ultra vires, constructive notice and indoor management.
3. Write notes on: prospectus, kinds of shares, directors, general meetings, auditors, winding up.
4. What is e-governance? Explain its models, benefits and challenges, and the role of engineers in e-governance.
5. Explain the need for reformed engineering services at the Union and state levels.
6. Discuss the role of IT professionals in the judiciary.

7. How do alienation and secessionism act as obstacles to industrial development? Suggest remedies.

## Last-hour checklist

- ☐ Constituent Assembly dates; 26 Nov 1949 and 26 Jan 1950; sources of the Constitution.
- ☐ Preamble key words; 42nd Amendment additions; Berubari vs Kesavananda.
- ☐ Fundamental Rights table (Articles 14 to 32) and the five writs.
- ☐ DPSP examples (39A, 40, 44, 45, 48A, 50); FR vs DPSP; 11 Fundamental Duties (51A).
- ☐ Quasi-federal features; Seventh Schedule; Articles 249, 252, 254, 280.
- ☐ Three types of amendment; basic structure; important amendments.
- ☐ Emergency table (352, 356, 360); 73rd and 74th Amendments.
- ☐ Parliament powers; Money Bill; joint sitting; President vs US President; PM.
- ☐ Supreme Court independence; collegium and NJAC; judicial review; PIL; judicial activism.
- ☐ Lokpal and Lokayuktas Act 2013; Governor; CM; High Courts.
- ☐ Sources of law; court structure; consumer commissions; tribunals; arbitration process.
- ☐ Contract essentials and remedies; negligence, strict and absolute liability; POSH; labour codes.
- ☐ IPR table; patentability; filing steps and timelines; patent rights and infringement.
- ☐ Copyright ownership, infringement, fair dealing, remedies; RTI timelines.
- ☐ IT Act objectives, digital signature working, CCA and CA, offences table, limitations.
- ☐ Business forms table; company formation; MOA and AOA; directors; meetings; auditors; winding up.
- ☐ E-governance models and examples; engineers in government; IT in judiciary; alienation and industry.

## Books prescribed by AKTU

These are the books named in the official AKTU syllabus. Buy or borrow them through a bookshop or your college library. The WorldCat links show which libraries hold a copy.

| # | Title | Author(s) | Publisher | Where to get it legally |
|---|---|---|---|---|
| 1 | Introduction to the Indian Constitution | Brij Kishore Sharma | PHI Learning | WorldCat |
| 2 | The Indian Constitution: Cornerstone of a Nation | Granville Austin | Oxford University Press | WorldCat |
| 3 | Indian Constitution and Indian Polity | S. G. Subramanian | Pearson | WorldCat |
| 4 | Our Constitution | Subhash C. Kashyap | National Book Trust | WorldCat |
| 5 | The Indian Constitution | Madhav Khosla | Oxford University Press | WorldCat |
| 6 | The Constitution of India | P. M. Bakshi | Universal Law Publishing | WorldCat |

| # | Title | Author(s) | Publisher | Where to get it legally |
|---|---|---|---|---|
| 7 | Law Relating to Intellectual Property Rights | V. K. Ahuja | LexisNexis | WorldCat |
| 8 | The Indian Cyber Laws | Suresh T. Viswanathan | Bharat Law House | WorldCat |
| 9 | Intellectual Property Law | P. Narayanan | Eastern Law House | WorldCat |
| 10 | Gearing up for Patents: The Indian Scenario | Prabuddha Ganguli | Universities Press / Orient Longman | WorldCat |
| 11 | Law Relating to Patents, Trade Marks, Copyright, Designs and Geographical Indications | B. L. Wadehra | Universal Law Publishing | WorldCat |
| 12 | Intellectual Property Rights: Law and Practice (study material) | ICSI | Institute of Company Secretaries of India | ICSI |
| 13 | Company Law (study material) | ICSI | Institute of Company Secretaries of India | ICSI |
| 14 | Handbook on e-Governance Project Lifecycle | Department of Electronics and IT | Government of India (MeitY) | MeitY |
| 15 | Companies Act, 2013: Key Highlights and Analysis | PwC India | PricewaterhouseCoopers | WorldCat |

Free, legal primary sources: the bare text of the Constitution on legislative.gov.in, Acts on indiacode.nic.in, and judgments on the Supreme Court website. The ICSI study material is published free on icsi.edu.

**Syllabus source:** AKTU B.Tech 3rd year non-credit courses syllabus (copy hosted by an affiliated college, PDF). BNC601 is the current code of this course; the syllabus is the same as the earlier KNC601.